under the colonial rule. Scholars have pointed out that the age of discovery (fifteenth and sixteenth centuries), stimulated by ship-building and navigation, the politico-economic theory of mercantilism which held that national strength and security in a world of competing states were dependent on a favourable balance of trade and the accumulation of gold in the treasury, the rise of monopoly capitalism, all brought the Third World countries under imperialistic exploitation. As history moved on, colonialism and imperialism created their own contradictions in the forms of national liberation and urge for democracy. By the end of World War II, a process of decolonization had started and almost all states under colonial domination were able to shake off the yoke of this domination. This, formally put an end to colonialism but the former colonies continued and still continue to be dominated and exploited by the former colonial powers. Thus, political economy of dependence and exploitation continues. As Organski[8] remarks that classical colonialism might have met a natural death but new forms of colonialism are arising in its place. Nations, those who have won nominal political independence, are not necessarily free and those states which have never been colonies before also cannot escape the new forces of colonialism commonly known as **neo-colonialism.**